

MEAN-REVERTING QUALITATIVE ELEMENTS

Graham warned in *Security Analysis* that the inclusion of certain qualitative factors in a valuation without an appreciation of the impact of mean reversion would inadvertently introduce into the analysis errors of overvaluation or, more unusually, undervaluation. Graham classified the elements of a security analysis in two groupings: quantitative and qualitative. The quantitative factors—what Graham described as the stock's *statistical exhibit*—were simply the company's financial statements and other information about the company's production and order book. The qualitative factors included "the nature of the business; the relative position of the individual company in the industry; its physical, geographical, and operating characteristics; the character of the management; and, finally, the outlook for the unit, for the industry, and for business in general."³⁰ Most of the effort should be "devoted to the figures," wrote Graham, because the qualitative elements would include, "a large admixture of mere opinion," and so should be treated in a "superficial or summary fashion."³¹

To the extent that one would consider qualitative factors, the most important were the nature of the business and the quality of the management, but they were both "exceedingly difficult to deal with intelligently."³² The reason, argued Graham, was that most people had definite, though erroneous notions as to what constituted a "good" business based on mere conjecture or their own bias.³³ Their assessment of the nature of the business was often based on its very recent performance.³⁴

It is natural to assume that industries which have fared worse than the average are "unfavorably situated" and therefore to be avoided. The converse would be assumed, of course, for those with superior records. But this conclusion may often prove quite erroneous. Abnormally good or abnormally bad conditions do not last forever. This is true of general business but of particular industries as well. Corrective forces are usually set in motion which tend to restore profits where they have disappeared, or to reduce them where they are excessive in relation to capital.

Businesses with good records were likely the beneficiaries of a favorable business environment, and so were likely primed for the intrusion of "corrective forces" and a period of stagnation. Similarly, businesses that had endured poor conditions were more likely to enjoy a period of bounty. The analyst assuming present conditions would persist missed the mean-reverting nature of business conditions and profitability in relation to capital. What about assessing the abilities of management? There, Graham suggested that